SAP SD
Order-to-Cash (O2C) Process

End-to-End Sales Cycle Documentation

NovaTech Electronics Pvt. Ltd. · Fictional Business Scenario

Submitted by	Nikita Rani
Roll Number	2305305
Program	B.Tech Computer Science & Engineering, KIIT DU, Bhubaneswar
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Module	SAP SD (Sales & Distribution)
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1. Problem Statement

NovaTech Electronics Pvt. Ltd. is a mid-sized electronics distributor based in India, supplying products to retail chains across the country. The company faced inefficiencies in its sales cycle — from capturing customer inquiries to collecting payments — due to manual, disconnected processes. Order tracking was unreliable, delivery scheduling was error-prone, and billing was delayed, leading to cash flow issues and customer dissatisfaction.

This project implements the complete **Order-to-Cash (O2C)** process using the **SAP SD (Sales & Distribution)** module within SAP S/4HANA, providing an integrated, automated, and auditable end-to-end sales workflow.

2. Solution Overview

The O2C cycle in SAP SD covers every stage of the sales process — from the moment a customer expresses interest in a product to the final receipt of payment. Each stage is supported by a dedicated SAP transaction, ensuring data consistency, real-time stock updates, automatic financial postings, and a complete audit trail.

Business Scenario

Company	NovaTech Electronics Pvt. Ltd.
Customer	BlueStar Retail Pvt. Ltd.
Product	NT-Pro Laptop Model X
Quantity	100 units
Unit Price	■55,000 per unit
Total Value	■55,00,000

O2C Process Summary

Step	Activity	T-Code	SAP Module
1	Customer Inquiry	VA11	SAP SD
2	Quotation Creation	VA21	SAP SD
3	Sales Order Creation	VA01	SAP SD
4	Outbound Delivery	VL01N	SAP SD / WM
5	Post Goods Issue	VL02N / LT03	SAP SD / WM
6	Billing / Invoice	VF01	SAP SD / FI
7	Incoming Payment	F-28	SAP FI

Tech Stack: SAP S/4HANA Cloud · SAP SD Module · SAP FI Module · SAP WM (Warehouse Management)

3. Step-by-Step Process Documentation

Step 1 | Customer Inquiry | T-Code: VA11

The O2C cycle begins when a customer expresses interest in purchasing goods. In SAP SD, this is recorded as an **Inquiry** using transaction **VA11**. The sales team enters the Inquiry Type (IN), Sales Organization, Distribution Channel, and Division. The system creates a document capturing the customer's requirements without any legal or commercial commitment.

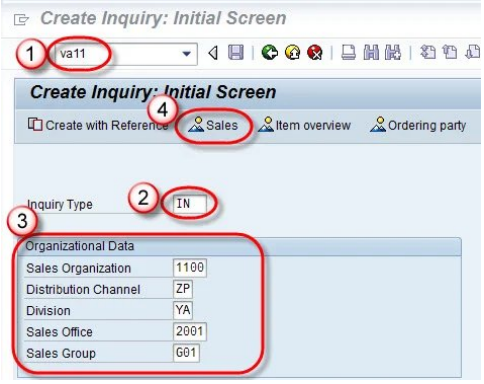

Fig 1.1 — VA11 Initial Screen: Inquiry Type IN, Org Data

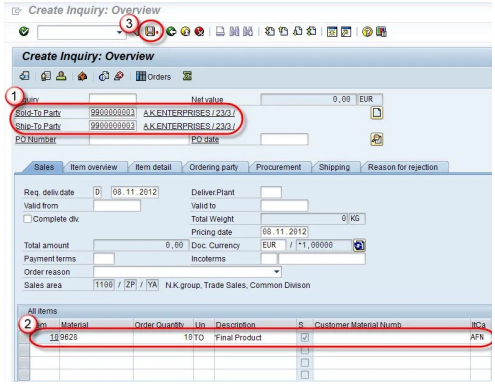

Fig 1.2 — VA11 Overview: Customer A.K. Enterprises, Material 9628, Qty 10

Step 2 | Quotation Creation | T-Code: VA21

Based on the inquiry, the sales team creates a **Quotation** using transaction **VA21**. The quotation is a legally binding offer to the customer specifying price, quantity, validity period, and delivery terms. Key fields include Quotation Type (QT), Sales Organization, Distribution Channel, Sold-to Party, material number, and validity dates (Valid From / Valid To).

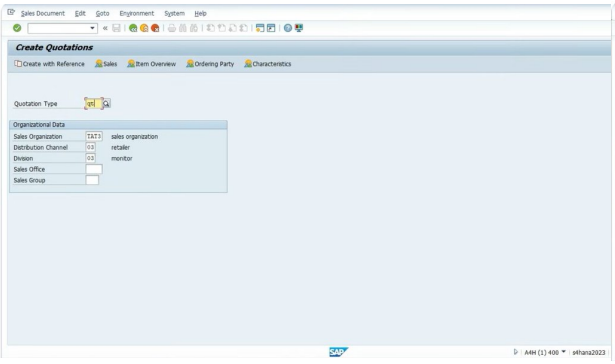

Fig 2.1 — VA21 Initial Screen: Quotation Type QT, Sales Org IAT3

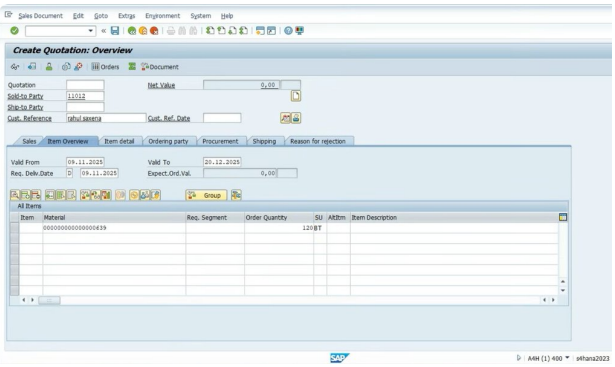

Fig 2.2 — VA21 Overview: Sold-to Party 11012, Material, Valid 09.11–20.12.2025

Step 3 | Sales Order Creation | T-Code: VA01

Once the customer accepts the quotation, a **Sales Order** is created using transaction **VA01**. This is the central document in the O2C process — it triggers downstream activities including delivery, billing, and payment. The sales order references master data from Customer Master (credit info), Material Master (availability), Pricing Master (conditions/discounts), and Plant (delivery location).

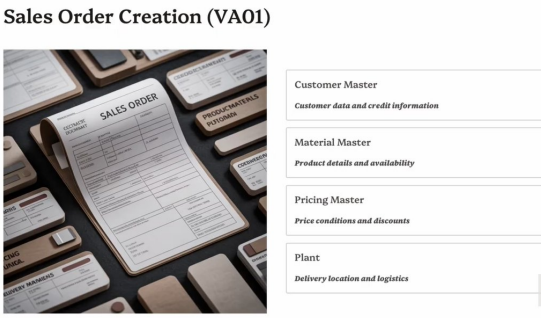

Fig 3.1 — VA01: Key master data inputs for Sales Order creation

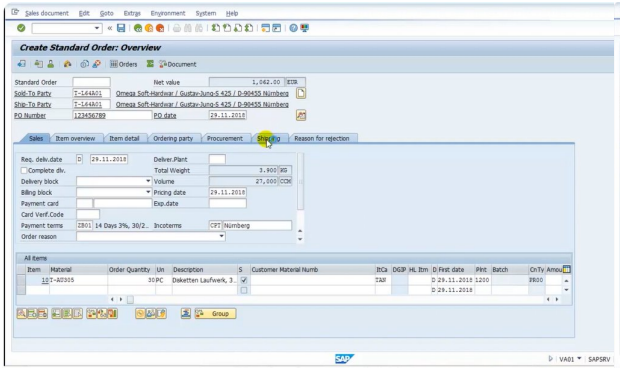

Fig 3.2 — VA01 Sales tab: Standard Order overview, Net Value 1,062 EUR

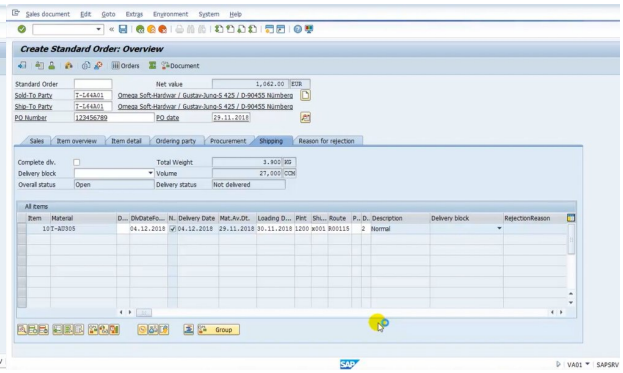

Fig 3.3 — VA01 Shipping tab: Delivery date, delivery status

Step 4 | Outbound Delivery | T-Code: VL01N

After the sales order is saved, the warehouse team creates an **Outbound Delivery** using transaction **VL01N**. The delivery document specifies the shipping point, selection date, and references the sales order. The system proposes the delivery quantity based on available stock. Picking and packing activities are also managed here.

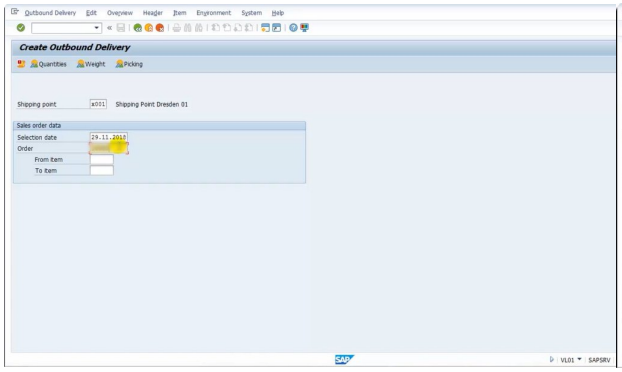

Fig 4.1 — VL01N: Create Outbound Delivery — Shipping Point X001

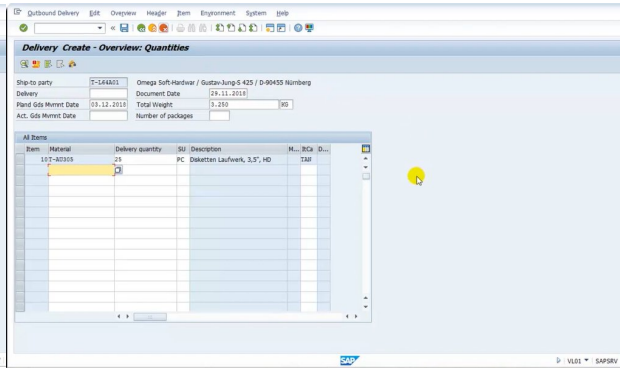

Fig 4.2 — VL01N: Delivery Quantities — Material T-AU305, 25 PC

Step 5 | Post Goods Issue | T-Code: VL02N / LT03

Once picking is complete, the warehouse posts the **Goods Issue** via **VL02N** (Subsequent Functions → Post Goods Issue). This is a critical step — it reduces stock in inventory, triggers an automatic accounting document in SAP FI (cost of goods sold), and updates the delivery status to 'Goods Issued'. Transfer Orders (LT03) are used for warehouse-managed picking confirmation.

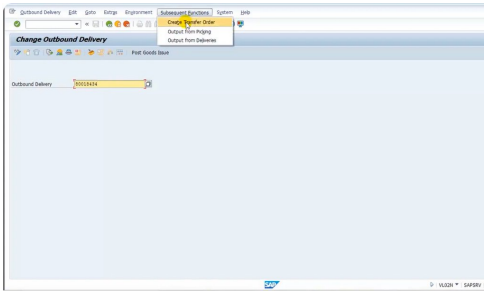

Fig 5.1 — VL02N: Subsequent Functions → Post Goods Issue

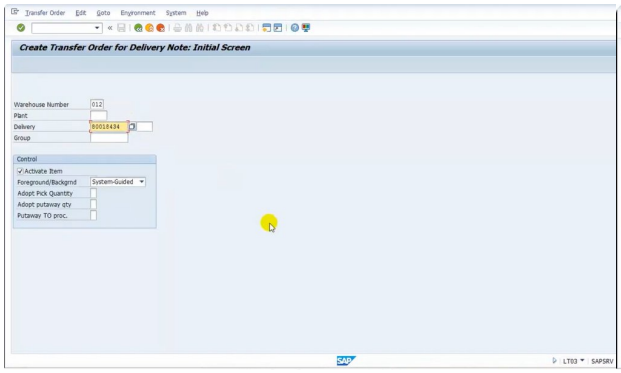

Fig 5.2 — LT03: Transfer Order creation for Delivery 80018434

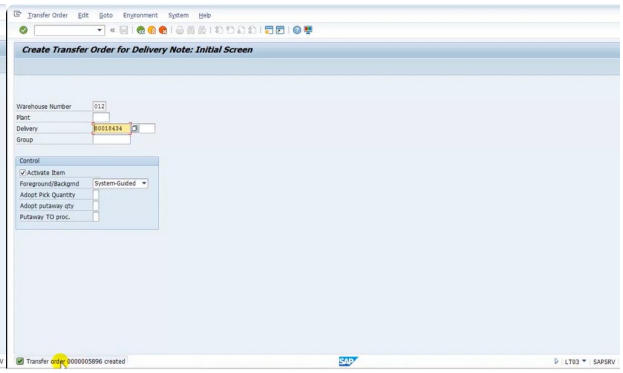

Fig 5.3 — LT03: Confirmation — Transfer order 0000005896 created

Step 6 | Billing / Invoice Creation | T-Code: VF01

After goods issue, the finance team creates a **Billing Document (Invoice)** using transaction **VF01**. The billing document references the outbound delivery and automatically calculates the invoice amount based on the pricing conditions from the sales order. It also posts an **Accounts Receivable** entry in SAP FI, making the amount due visible in the customer's account.

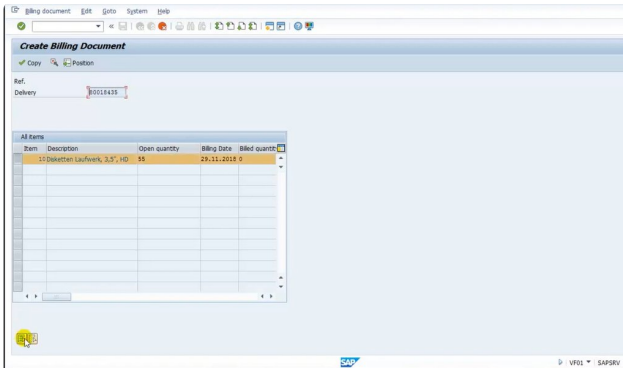

Fig 6.1 — VF01: Create Billing Document — Delivery 80018435, Open qty 55 PC

Step 7 | Incoming Payment | T-Code: F-28

The final step in the O2C cycle is recording the **Customer Payment** using transaction **F-28** (Post Incoming Payments). The accountant enters the bank account, payment amount, and selects the open invoice from the customer's account. Upon saving, the system clears the open receivable, posts the bank receipt, and the O2C cycle is complete — the company has received payment for the goods delivered.

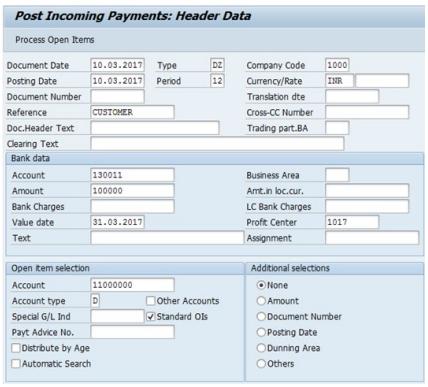

Fig 7.1 — F-28: Post Incoming Payments Header — Amount 1,00,000 INR

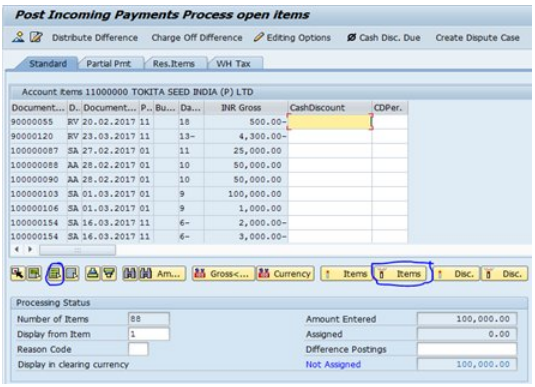

Fig 7.2 — F-28: Open Items — TOKITA SEED INDIA, multiple invoices cleared

4. Unique Points & Key Learnings

- **End-to-end integration:** Every step from VA11 to F-28 is tightly integrated — a change in the sales order automatically reflects in delivery, billing, and financials.
- **Automatic FI postings:** Post Goods Issue (VL02N) and Billing (VF01) both trigger automatic journal entries in SAP FI — eliminating manual accounting.
- **Document flow:** SAP maintains a complete document chain: Inquiry → Quotation → Sales Order → Delivery → Billing → Payment, fully traceable.
- **Master data dependency:** The accuracy of the O2C cycle depends on correctly configured Customer Master, Material Master, and Pricing Conditions.
- **Warehouse Management integration:** LT03 transfer orders enable warehouse-level picking control before goods issue, ensuring physical stock accuracy.

5. Future Improvements

- **SAP CRM Integration:** Link the O2C process with SAP CRM for customer interaction tracking and opportunity management.
- **Automated billing runs:** Schedule VF04 (collective billing) to auto-generate invoices at end-of-day without manual intervention.
- **Credit management:** Enable automatic credit checks (FD32) during sales order creation to prevent over-credit exposure.
- **Electronic invoicing (e-Invoice):** Integrate with India's GST e-invoicing portal for automatic IRN generation on each billing document.
- **SAP Analytics Cloud:** Build real-time O2C dashboards tracking order fulfilment rate, DSO (Days Sales Outstanding), and billing accuracy.

6. Conclusion

This project successfully documents the complete **Order-to-Cash (O2C)** cycle implemented in **SAP SD** for a fictitious company — NovaTech Electronics Pvt. Ltd. The seven-step process from Customer Inquiry (VA11) to Incoming Payment (F-28) demonstrates how SAP S/4HANA integrates sales, logistics, and finance into a single, seamless workflow.

The O2C process eliminates data silos, enforces business rules through master data configuration, and provides real-time visibility into order status and financial exposure. This implementation forms a strong foundation for further enhancements such as credit management, automated billing, and analytics integration.

Submitted by: Nikita Rani | **Roll No:** 2305305 | **Program:** B.Tech CSE, KIIT DU, Bhubaneswar | **Batch:** 2023–2027 | **Date:** April 2026